Pension Validation Report

Prepared May 2026 · Confidential

Prepared for	You & Your Wife
Current ages	54 (him) · 53 (wife)
Planned retirement	58 (him) · 57 (wife) — mid 2030
Income target	£50,000/year gross
Analysis date	May 2026
Skills applied	time-value-of-money · tax-efficiency · savings-goals investment-policy · liquidity-management

Executive Summary

Area	Status	Finding
DC accumulation	✓ **On track**	Projected £425k, not £315k — Aon pot may be missing from your estimate
Retirement income	✓ **Achievable**	DB1 + DC drawdown covers £50k from day one
Long-term sustainability	✓ **Good**	DB + state pensions absorb the load by age 67–68
Withdrawal rate	■ **Use ≤7%**	8–9% risks depleting the pot before age 73–77
Tax efficiency	■ **Improve**	Splitting income saves ~£2,500/year
Investment risk	■ **Review**	High-equity allocation 4 years from retirement
DB pension timing	■ **Decide**	DB1 available next year at 55 — take vs defer decision needed
Aon transfer	■ **Check**	Verify no safeguarded benefits before transferring

This report is for educational planning purposes only. Figures are projections, not guarantees. Consult an FCA-authorised financial adviser before acting on this analysis.

1. Asset Summary

Your pension wealth comprises DC (defined contribution) pots, DB (defined benefit) pensions, and future state pension entitlements. The table below summarises all assets.

Asset	Owner	Type	Current Value	At / From
Aon DC pot	Him	DC	£135,000	Transfers to Aegon
Aegon DC pot	Him	DC	£37,000	Retirement (58)
Personal DC pot	Wife	DC	£34,500	Retirement (57)
DB Pension 1	Him	DB	£16,300/yr	Age 55 (next year!)
DB Pension 2	Him	DB	£1,800/yr	Age 60 (2032)
DB Pension 3	Him	DB	£1,800/yr	Age 60 (2032)
DB Pension 1	Wife	DB	£4,000/yr	Age 60 (2033)
State Pension	Him	SP	~£11,500/yr	Age 67 (2039)
State Pension	Wife	SP	~£11,500/yr	Age 67 (2040)

All DB pensions increase at 3% CPI per year once in payment. All DB pensions carry a 50% spouse's pension on death. You have confirmed you will NOT take the DB commuted lump sum.

2. DC Pot Projections to Retirement

Projections use the growth rates you supplied (10% for Aegon, 9% for your wife's DC) and assume the Aon pot (£135,000) transfers to Aegon promptly. Contributions follow the schedule you provided.

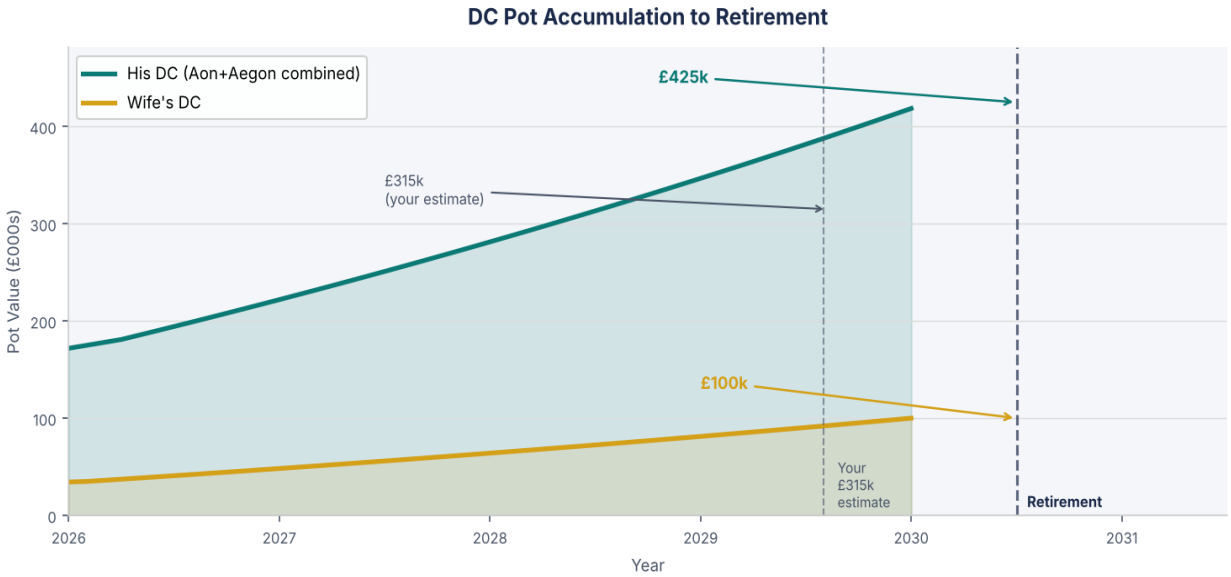


Chart 1 — DC pot growth from today to retirement. The dashed line marks your stated £315,000 estimate at end-2029; model projects £382k at that date and £425k at mid-2030.

Date	Milestone	His DC (combined)	Wife's DC
May 2026	Today	£172,000	£34,500
Jul 2026	Phase 1 contributions end	£181,000	£35,100
Dec 2029	Your '2029' estimate	£382,000 (model)	£93,000
Mid 2030	His retirement (age 58)	£425,000	—
Mid 2030	Wife's retirement (age 57)	—	£102,000

■ Flag: Your estimate of £315,000 is approximately £67,000 below the model projection. The most likely cause is that the Aon pot (£135,000) has not been included in your own spreadsheet. Once transferred, the combined Aegon pot is substantially larger. Verify this with your Aegon adviser before relying on £315,000 as the planning figure.

3. Tax-Free Cash (PCLS)

You have elected to take the 25% Pension Commencement Lump Sum (PCLS) from each DC pot while NOT taking the DB commuted lump sums. The table below shows the amounts.

Pot	Total Pot Value	PCLS (25%)	Remaining Drawdown Pot
His DC (your £315k estimate)	£315,000	£78,750	£236,250
His DC (model projection)	£425,000	£106,250	£318,750
Wife's DC	£102,000	£25,500	£76,500
TOTAL (using model)	**£527,000**	**£131,750**	**£395,250**

Alternative: Monthly Tax-Free Income via UFPLS

Instead of taking the PCLS as a single lump sum, you could use Uncrystallised Fund Pension Lump Sums (UFPLS). Each monthly withdrawal is 25% tax-free and 75% taxable — the total tax-free amount over the full drawdown period is identical either way. UFPLS is useful if you want to retain IHT flexibility (uncrystallised pensions remain outside your estate for longer).

Monthly DC Withdrawal	Tax-Free Element (25%)	Taxable Element (75%)
£1,000	£250	£750
£1,500	£375	£1,125
£2,000	£500	£1,500
£2,500	£625	£1,875
£3,000	£750	£2,250

4. Drawdown Duration Analysis

The charts below show how long your DC drawdown pot lasts at different withdrawal rates. The growth assumption of 8% per annum net of charges is based on your stated fund allocation: 30% L&G; Global Technology Index (assumed 11% long-term) and 70% Vanguard LifeStrategy 80% Equity (assumed 7.5%), blending to approximately 8.5% gross, reduced to 8% after charges.

Rate	Annual Withdrawal (on £315k)	Monthly	Pot lasts (fixed cash, 8% growth)	Pot lasts (inflation-adj, 5% real)
6%	£18,900	£1,575	**Indefinite** ■	~20 years
7%	£22,050	£1,838	**~25 years**	~15 years
8%	£25,200	£2,100	**~18 years**	**~13 years**
9%	£28,350	£2,362	**~14 years**	**~11 years**



Chart 2 — Drawdown pot longevity using your £315k estimate (£236k after 25% PCLS, 8% growth). The shaded band shows typical life expectancy range. A 6% withdrawal rate sustains the pot indefinitely.



Chart 3 — Drawdown pot longevity using the model-projected £425k (£319k after 25% PCLS). The larger pot delivers materially more income at every rate.

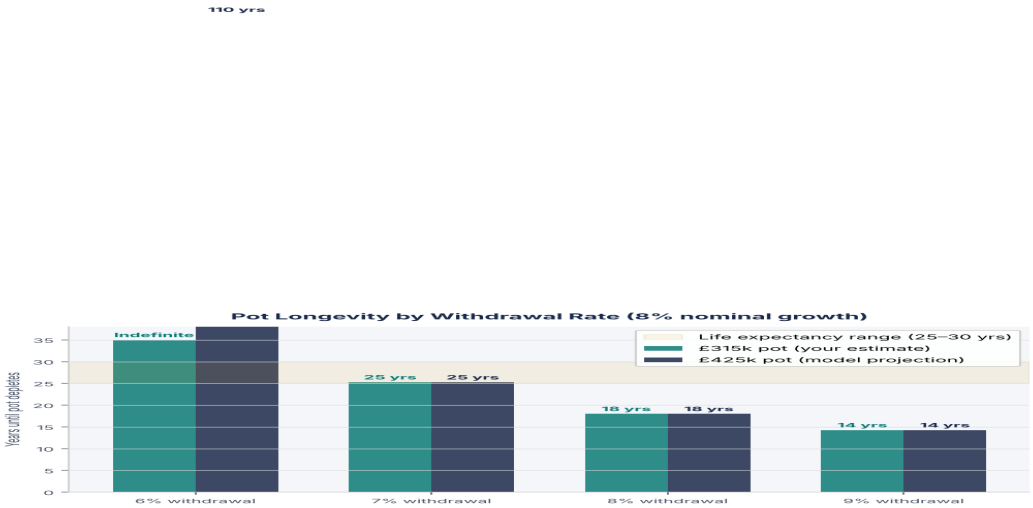


Chart 4 — Years until pot depletes by withdrawal rate (nominal 8% growth). Gold band = typical life expectancy range. Only 6–7% rates are sustainable for a 25–30 year retirement.

✓ Key insight: At 6% withdrawal on the £315k pot, the annual draw (£18,900) is almost exactly matched by portfolio growth (8% of £236k = £18,880) — making the pot effectively indefinite. However, once inflation-adjusted, real purchasing power erodes faster. The good news: your DB pensions are already inflation-linked, so you may not need to increase DC withdrawals by inflation every year, significantly extending pot longevity.

5. Year-by-Year Income Analysis

Your £50,000 income target must be funded from a combination of DB pensions, DC drawdown, and eventually state pensions. The income gap varies significantly by year as each guaranteed source comes online.

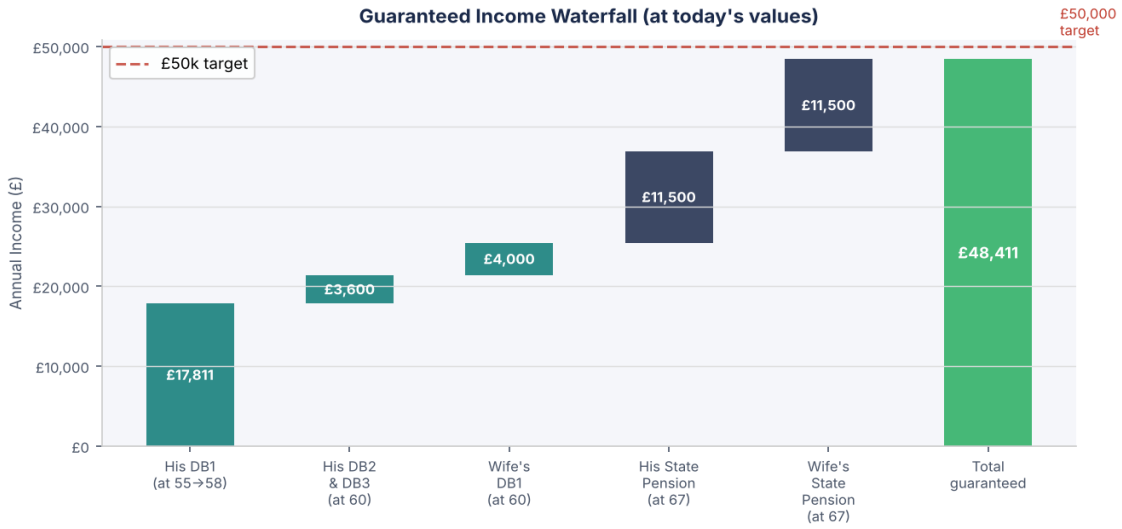


Chart 5 — Guaranteed income sources building up to cover the £50,000 target (today's values). Teal bars = DB pensions. Navy bars = state pensions. Green = combined total.

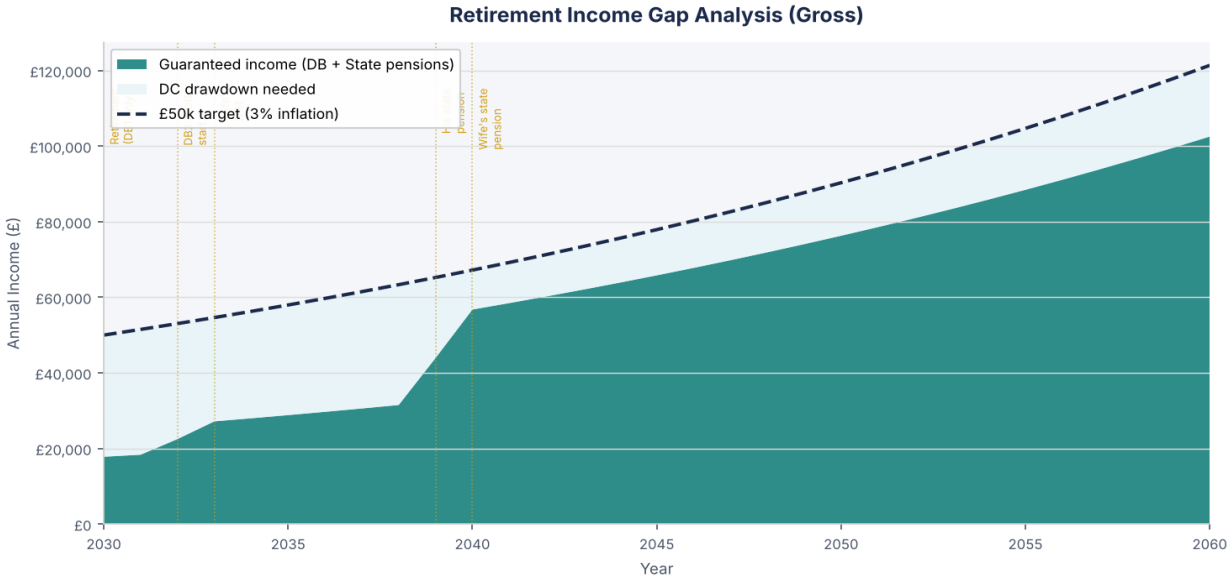


Chart 6 — Income gap over 30 years. Teal = guaranteed income. Light blue = DC drawdown needed. Dashed line = inflation-adjusted £50k target. Gap narrows sharply at age 60 and again at 67.

Year	His Age	Guaranteed Income	Gap to £50k	Key event
2030	58	£17,811	£32,189	Retirement — DB1 only in payment
2031	59	£18,345	£31,655	
2032	60	£22,496	£27,504	His DB2 & DB3 start (£3,600/yr combined)
2033	61	£27,171	£22,829	Wife's DB1 starts (£4,000/yr)
2039	67	£43,944	~£21k*	His state pension starts
2040	68	£56,417	~£11k*	Wife's state pension — guaranteed nearly covers target

* Gap shown vs inflation-adjusted target (3%/yr). Your DB pensions are CPI-linked so they track the target. By age 68, guaranteed income fully covers the income target.

6. Income Tax Optimisation

Both of you have personal allowances (£12,570 each, 2024/25). Splitting income across both spouses materially reduces the tax bill on £50,000 gross joint income.



Chart 7 — Net income after tax across three income-splitting strategies on £50,000 gross. Equal split saves £2,514/year versus drawing all income through one person.

Strategy	His Gross	Her Gross	Tax (him)	Tax (her)	Total Net	Annual Sa
All income to him	£50,000	£0	£7,486	£0	£42,514	—
Equal split £25k each ✓	**£25,000**	**£25,000**	**£2,486**	**£2,486**	**£45,028**	**+£2,514**
DB + top-up vs minimum	£37,811	£12,189	£5,048	£0	£44,952	+£2,438

✓ Recommended approach: Draw his DB1 (£17,811) through him, then top up from his DC drawdown to £25,000. Draw £25,000 from wife's DC drawdown. This uses both personal allowances optimally and saves £2,514/year in income tax — worth £50,000+ over 20 years.

7. DB Pension 1 — Take at 55 or Defer to 58?

Your DB Pension 1 becomes available at age 55 — approximately one year from now (2027). You plan to retire at 58. You have a choice: take the pension immediately at 55 or defer it to retirement at 58 for an enhancement.

	Take at 55	Defer to 58
Annual pension (today's value)	£16,300/yr	~£18,900/yr (est. 5%/yr enhancement)
Income received before retirement (3 yrs)	£48,900	£0
Annual difference	—	+£2,600/yr for life
Break-even period	—	~19 years (age 77)
Recommendation	Generally favourable	Better only if long life expectancy

■ Action required: Contact the DB1 scheme administrator to obtain the exact actuarial enhancement factors for late retirement. The general lean is to take it at 55 — you collect 3 years of income (£48,900) and the break-even for deferral is ~age 77.

8. Validation Flags & Risk Items

■ Flag 1 — DC Pot Estimate (£315k vs £382k projected)

Your estimate of £315,000 is approximately £67,000 below the model projection at the same date. Likely cause: the Aon pot (£135,000) is missing from your own calculation. Once the transfer completes, the Aegon pot is much larger. Verify this before planning withdrawals.

■ Flag 2 — Aon Transfer: Check Safeguarded Benefits

Before transferring the Aon pot to Aegon, confirm there are no Guaranteed Annuity Rates (GARs) or defined benefit underpins attached. Losing a GAR can cost tens of thousands. A regulated pension transfer specialist must advise on transfers over £30,000.

■ Flag 3 — Investment Concentration Risk

30% L&G; Global Technology is a highly concentrated, volatile sector fund. 70% Vanguard LS80 is already 80% equity. Combined, you hold approximately 85–90% global equities 4 years from retirement. A major market correction in 2028–2029 could permanently reduce your retirement pot. Consider moving 20–30% to lower-risk assets 2–3 years before retirement.

■ Flag 4 — Sequence of Returns Risk in Drawdown

Drawing from a high-equity portfolio in early retirement during a bear market can permanently damage your pot. Consider holding 2–3 years of DC income in cash or short-dated bonds as a buffer at the point of retirement. This insulates against poor early returns.

■ Flag 5 — State Pension Age Uncertainty

You and your wife (born ~1972/1973) may be affected by a planned increase in state pension age to 68. Check your National Insurance records at GOV.UK to confirm full entitlement (35 qualifying years). Any shortfall can be plugged with voluntary NI contributions (currently very cost-effective).

■ Flag 6 — Withdrawal Rate at 8–9%

At 8–9% withdrawal rates, the pot depletes at roughly age 73–77. While DC drawdown becomes less critical once state pensions begin at 67, exhausting the pot early removes your financial buffer and leaves you reliant entirely on guaranteed income. Target 6–7% maximum for a 25–30 year retirement.

✓ Annual Allowance

Your contributions (£2,965/month = £35,580/year) are well within the £60,000 annual allowance. No action needed.

✓ Lump Sum Allowance

Your combined PCLS (£131,750 projected) is well within the £268,275 lump sum allowance. No lifetime allowance concerns.

✓ Long-term income sustainability

By age 68, guaranteed income (DB + state pensions) covers the inflation-adjusted £50,000 target. Your DC pot is a supplement, not the sole income source.

✓ Spouse's pension on DB

All DB pensions carry 50% spouse's pension on death. Your wife is protected.

9. Recommended Actions

Priority	Action	Timescale
1 — Urgent	Check Aon transfer for GARs / safeguarded benefits. Use a regulated pension transfer specialist.	Before initiating transfer
2 — Soon	Confirm your DC pot projection — verify whether £315k includes the Aon pot or just Aegon	This month
3 — Soon	Contact DB1 scheme for exact late retirement enhancement factors. Decide whether to take at 55 (2027) or defer to 58	Within 6 months
4 — Medium	Check NI records (GOV.UK). If either of you has gaps, consider voluntary Class 3 NI contributions	Before April 2025 deadline
5 — Medium	Begin de-risking the DC portfolio 2–3 years before retirement (target ~60–65% equity, 35–40% lower-risk by 2028).	From 2027–2028
6 — Retirement	Structure drawdown to split income equally across both spouses (saves ~£2,514/year tax)	At retirement in 2030
7 — Retirement	Establish a cash buffer of 2–3 years' DC income (£60–90k) before commencing drawdown	At retirement in 2030
8 — Monitor	Re-run this projection annually as markets and legislation change.	Annual review

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